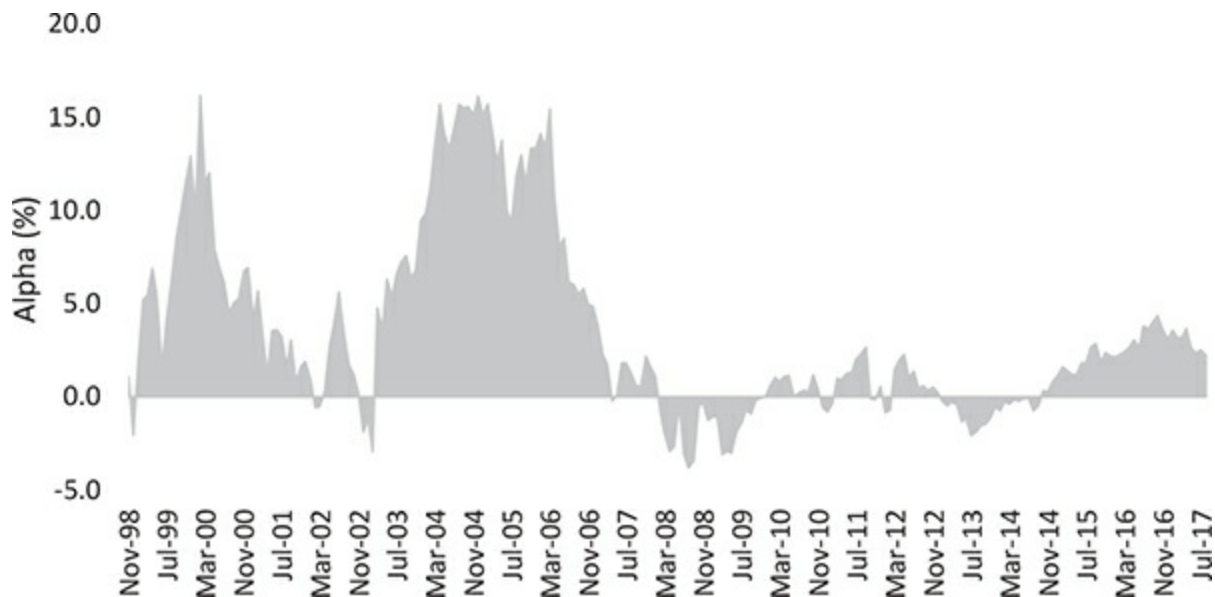


Exhibit 26: Alpha of average large-cap MF performance over Nifty total return index



Source: MFI Explorer, Ambit Capital. Each data point is annualized alpha of large-cap funds over Nifty Total Return Index for the last three years as on that date. There are 225 such data points spread over nineteen years.

We can almost hear those championing the cause of active large-cap equity fund management saying, ‘Even if large-cap equity mutual funds as an asset class cannot deliver alpha, surely there are a handful of truly great fund managers who can. Let’s focus on giving them money to manage.’ Unfortunately, even this argument does not hold true.

Inconsistency in mutual fund performance

Another issue plaguing most large-cap equity fund managers is the inconsistency in the performance of the fund. Ambit Capital’s analysts have used data from mutualfundindia.com to quantify this issue.